Economics

February 18, 2026

Double Feature: Durable Goods Orders & Industrial Production

Economic Indicator

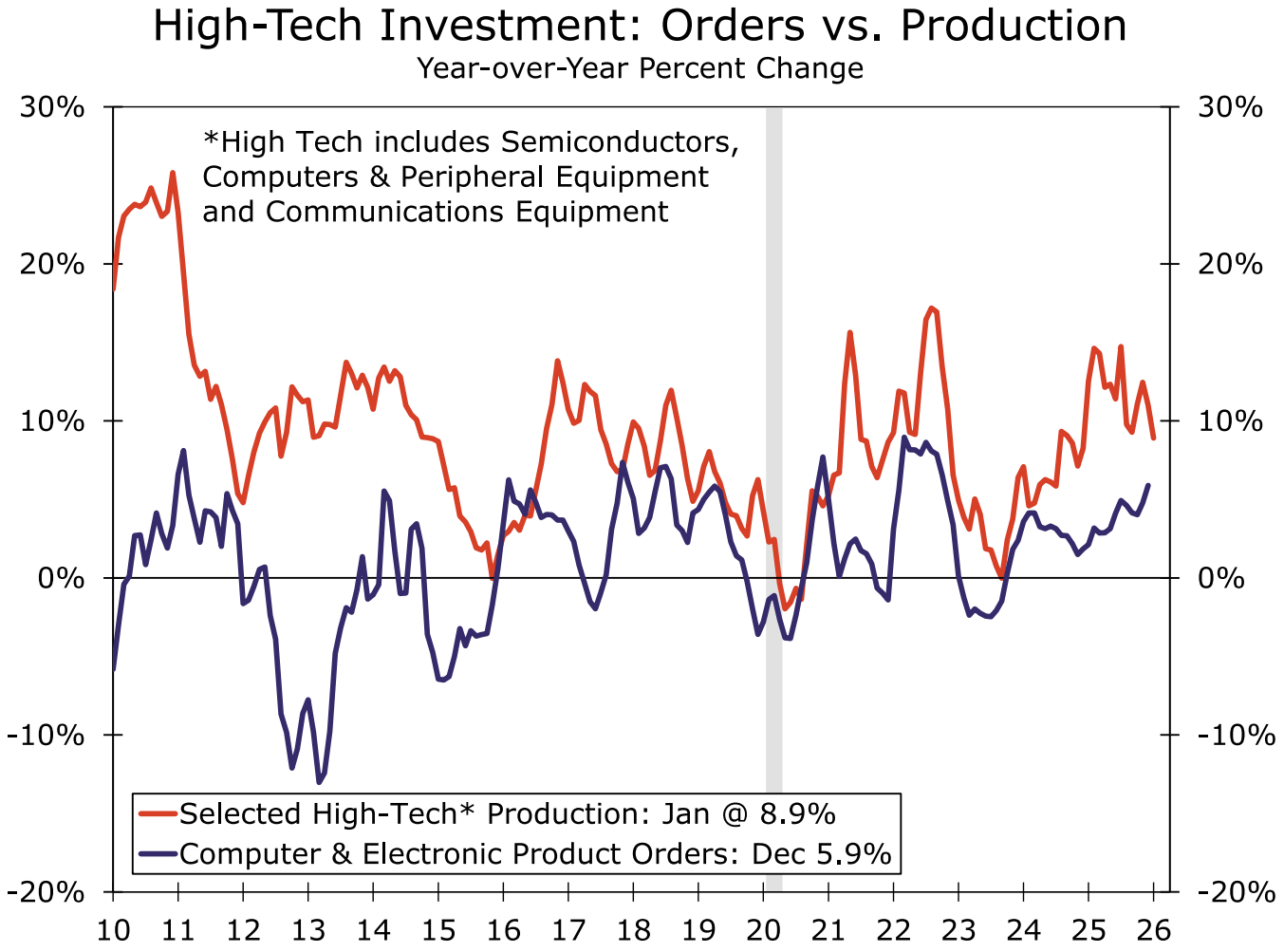
Economist(s)

Shannon Grein

Tim Quinlan

Summary

- Business investment over the past year has looked resilient largely because spending has been heavily concentrated in AI and high-tech, masking weakness in other sectors. High-tech orders, production, and imports have surged, while non-tech focused capital goods and output have lagged or declined.
- Today's December durable goods orders and January industrial production data suggest this is changing.
- While the AI investment boom is expected to continue, recent data suggest early signs of a broader pickup, with traditional capex stabilizing and non-high-tech output improving. This is occurring amid supportive tax incentives and a growing willingness by firms to finance investment beyond AI.



More Than Just Tech: Growth Signals Evident in Broader Range of Industries

What is often mistaken as broad resilience in business investment over the past year has actually been a heavy concentration of spending in the AI and broader high-tech build out. It is not so much a *rising tide that lifts all boats* as it is condensed activity in one sector that masks a struggle in industries not directly tied to the tech build-out. Today's data point to an encouraging growth pick-up outside of high-tech.

That dynamic is clearly visible in the durable goods data: orders for computers & related products rose 13.7% over the past year, running at nearly four times the pace of underlying core capital goods. The same concentration shows up on the production side. Domestic output of high-tech goods—including computers, communications equipment, and semiconductors—is up nearly 9% through January, while non-energy production excluding these components is up just 2.2%. Even trade flows tell the same story where growth in U.S. imports last year was largely driven by high-tech equipment, with non-tech import categories losing momentum.

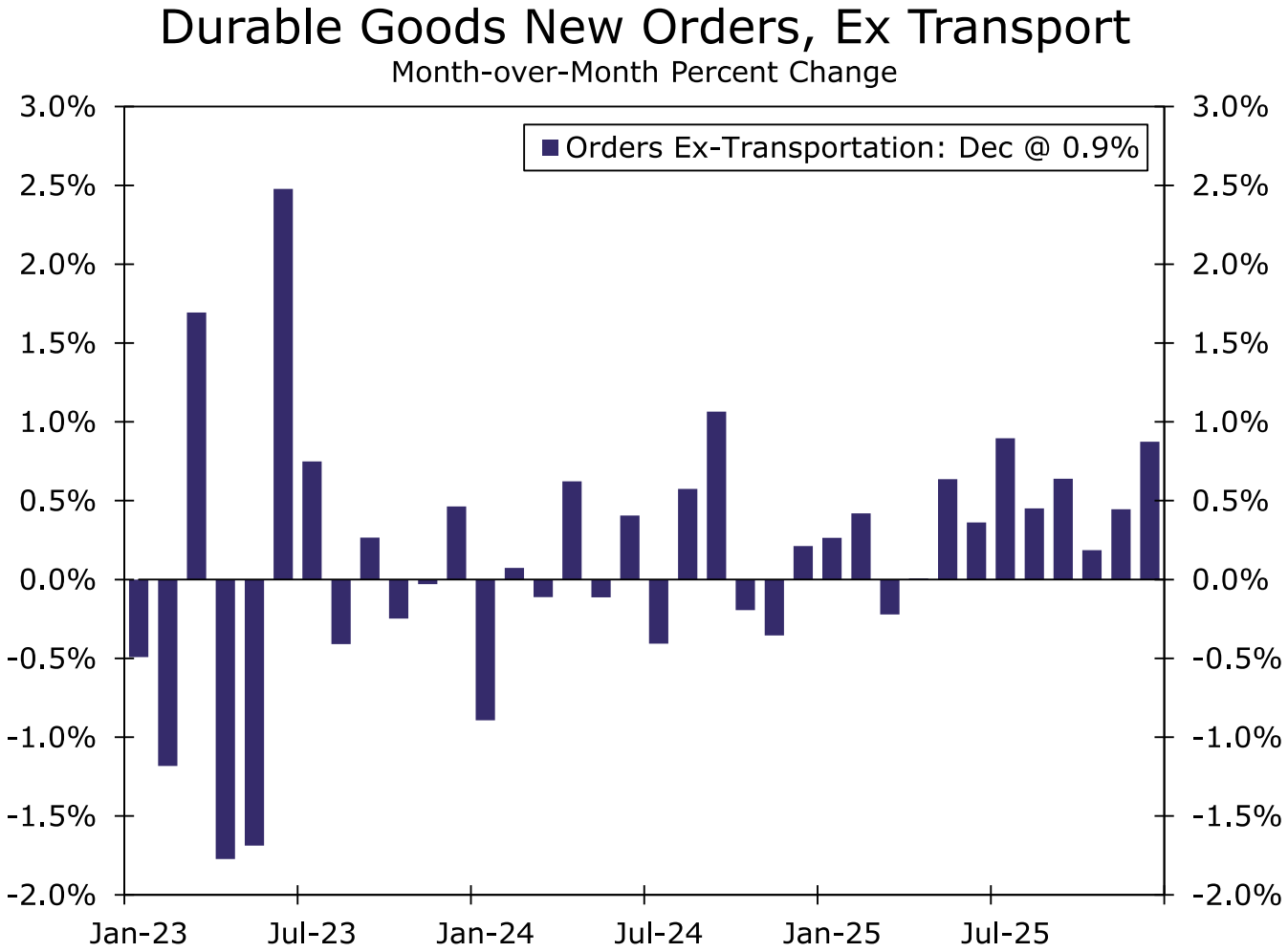
We don't see the AI-driven investment cycle fading anytime soon, and capital flows into that space are likely to continue. This morning's data show there are early signs that more traditional areas of capex are beginning to firm as well. Core capital goods orders are stabilizing and output excluding high-tech is starting to improve. Recent tax incentives in the One Big Beautiful Bill Act are supportive of broader investment, and the early-year pickup in commercial and industrial lending suggests firms are becoming incrementally more willing to finance capex beyond AI.

Durable Goods: Handily Exceeding Low Expectations

Get past the slip in aircraft orders and what emerges from the details of the December durable goods report are modest increases in orders across most durable goods categories. Since expectations were so tepid, even these modest gains exceeded expectations.

As is often the case with the durable goods report, a headline reading often misses the important developments. December was no exception with overall orders for long-lived capital goods down 1.4%, and, after excluding defense spending, orders fell 2.5%. But most of the "weakness" was in civilian aircraft orders which fell 25% in December, but that follows a near doubling (+98%) in non-defense aircraft orders in November, so the giveback here in December is not terribly disconcerting. In fact, civilian aircraft orders are up 69% over the past year, more than any other major category of durable goods orders.

The other main transports category, motor vehicles and parts, notched a 1.2% increase in orders in December after back-to-back declines in the two preceding months. Once you start to exclude these notoriously jumpy categories, a brighter picture emerges. Orders excluding transportation have firmed in recent months and rose 0.9% in January which was three-times the consensus expectation.



Source: U.S. Department of Commerce and Wells Fargo Economics

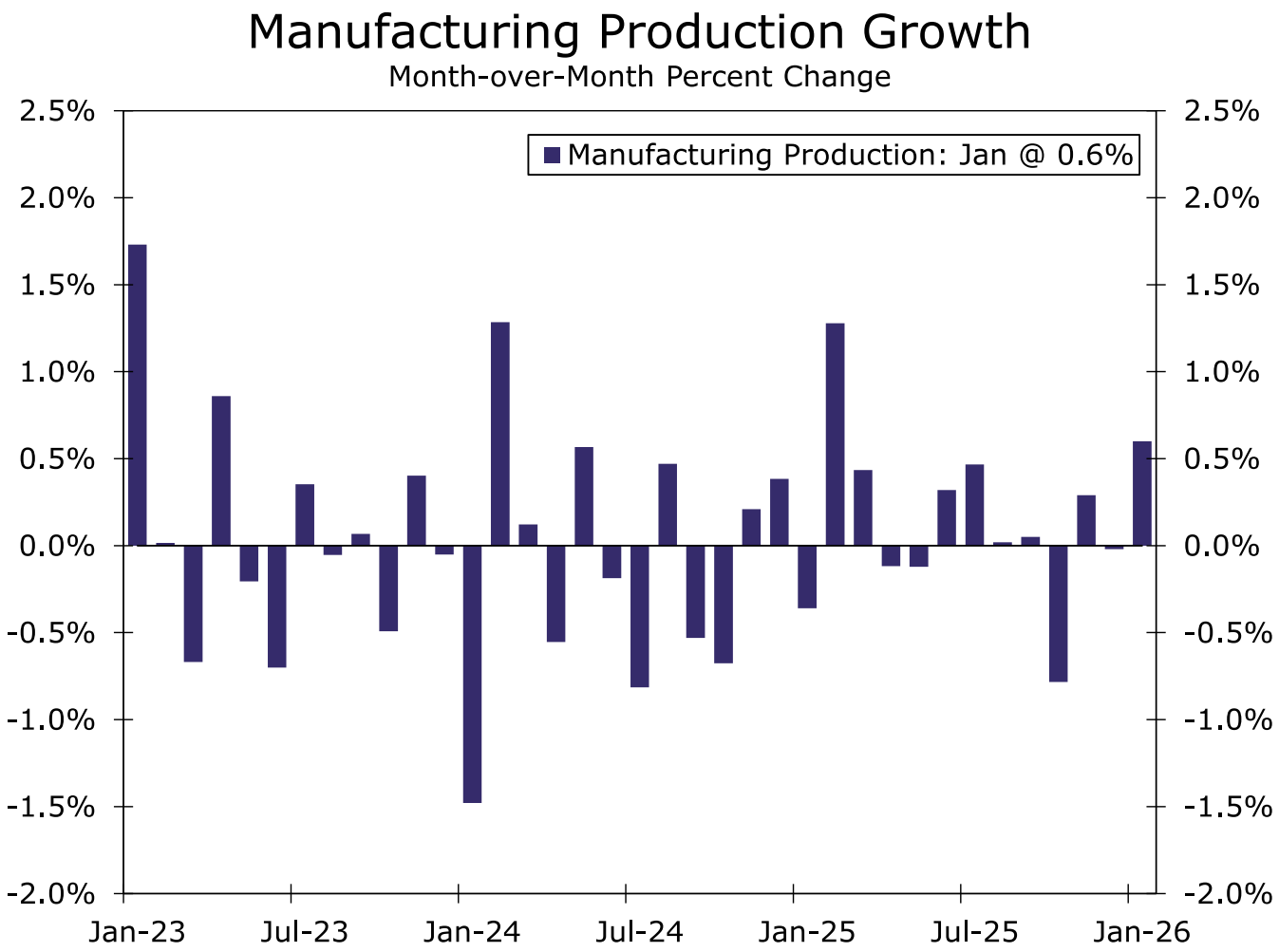
Orders for core capital goods (nondefense ex. air) looked better too, up 0.6% in December (twice the 0.3% expectation), and that better-than-expected reading came on the heels of an upward revision. Shipments of core capital goods rose 0.9% which also handily exceeded expectations, but remains consistent with our expectation for real equipment investment to rise at a near 4% annualized clip in Q4 when data print Friday.

Industrial Production: Stronger Beyond High-Tech

Industrial production picked up at the start of the year, rising 0.7% in January, though downward revisions to year-end take some of the shine off the data. Output was supported by firmer utilities output, but most of the strength stems from a sizable pickup in manufacturing output. Total manufacturing production rose 0.6% in January, posting the strongest monthly gain in nearly a year, and activity looks fairly broad based under the headline. Durable goods production was responsible for most of the strength (+0.8%) with all but the aerospace industry posting a rise in output. Nondurables industries were more mixed (+0.4%), with four of eight industries seeing output fall and a rebound in chemical output and some others offsetting declines.

You do not need to do a deep dive to find the theme of a tech-concentration in the industrial production data. Just look at the index levels. The Federal Reserve sets them all equal to 100 in 2017. The manufacturing index in January came in at 97.5 meaning manufacturing output, in volume terms, is 2.5% smaller than it was almost a decade ago. Yet the category "selected high-technology industries" came in at 184.7 the same month. This grouping includes output of computers, communications equipment, semiconductors and related electronic components.

While high-tech continues to outpace non-tech focused output, we see signs of recovery. Excluding high-tech, manufacturing output rose 0.6% in January, marking the fastest monthly increase in nearly a year with this measure of production matching its highest index reading of the past two and a half years.



Source: Federal Reserve Board and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/18/2026 unless otherwise stated. 2/18/2026 10:27:01 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. (“WFBNA”). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures

Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. “AI Technologies” means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, “Protected Content”). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority (“FCA”). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE